FREE GUIDE · @BUILDWITHABINASH

Money you need soon *needs a different home.*

Where to park money for a few days, a few months or a few years, and why the time you have decides the fund you pick.

Most of us keep "short-term money" in a savings account because we don't know where else it can go. A bonus waiting for a plan, an emergency fund, a down payment due next year. This guide maps out the options, horizon by horizon, with real return ranges and the rules on exit load and tax.

1. **Time decides the fund.** Ask "when do I need this money?" before you ask "which fund gives the most?".
2. **Under a year, keep it boring.** Liquid, ultra short, low duration and money market funds hold short, high-quality debt and move very little.
3. **Equity only above three years.** Five or more is even better. Shares can fall 20% or more in a single bad year.

LIQUID FUND 1Y AVG	SAVINGS A/C, BIG BANKS	LIQUID EXIT LOAD, DAY	EQUITY FROM
6.3%	2.5 to 3%	Nil	3+ yrs

PART 1 · THE QUICK MAP

Match the fund to *when you need the money*

Five time horizons, the fund category that usually fits each one, and what these categories have actually returned recently.

1 The map at a glance

YOU NEED IT IN	CATEGORY TO LOOK AT	RECENT 1Y RETURN*	EXIT LOAD
A few days to a few weeks	Liquid funds (also overnight funds)	**5.9 to 6.6%**	Tiny graded load up to day 6, nil from day 7
1 to 2 months	Liquid or ultra short duration funds	**5.9 to 6.9%**	Usually nil
2 to 12 months	Money market or low duration funds	**5.7 to 6.7%**	Usually nil
1 to 3 years	Corporate bond or short duration funds	**3.6 to 5.8%**	Usually nil, some schemes differ
Above 3 years	Equity mutual funds	**Varies a lot**	Often 1% if sold within a year

**Range of 1-year returns across direct plans in each category, as of early November 2026 (INDmoney and Sharpely category pages). Past returns don't guarantee future returns. For 1 to 3 year funds, the 3-year average (about 6.9% to 7.9%) is the more useful number; see Part 4.*

THE ONE THING TO NOTICE

The longer the horizon, the more a fund can wobble in the short run. Picking a fund that is "too long" for your timeline is how short-term money loses value right when you need it.

ABOUT THE 9% TO 10% NUMBER YOU MAY HAVE HEARD

Corporate bond funds are often pitched as giving 9% to 10%. Over the last three years, direct plans in this category returned about 6.9% to 7.9% a year, and over the last one year only 3.6% to 5.8% because interest rates went up. A realistic expectation today is closer to 7% than 10%. I would rather you plan with the lower number and be pleasantly surprised.

PART 2 · A FEW DAYS TO A FEW WEEKS

Liquid funds: *a better parking spot*

Liquid funds only hold debt and money market instruments that mature within 91 days, which is why their value barely moves day to day.

2 What ₹1 lakh earns in 30 days

WHERE IT SITS	RATE USED	EARNED IN 30 DAYS
Savings account	2.5%	₹205
Savings account	3%	₹247
Liquid fund (category average)	6.3%	₹503

Simple interest for the savings account, compounded for the liquid fund, on ₹1,00,000 for 30 days. Before tax. Rounded to the nearest rupee.

3 The exit load is graded, and very small

SEBI fixed one exit load structure for every liquid fund. It only applies if you withdraw within the first six days, and even then it is a few rupees.

WITHDRAW ON	EXIT LOAD	ON ₹1 LAKH	WITHDRAW ON	EXIT LOAD	ON ₹1 LAKH
Day 1	0.0070%	₹7.00	Day 4	0.0055%	₹5.50
Day 2	0.0065%	₹6.50	Day 5	0.0050%	₹5.00
Day 3	0.0060%	₹6.00	Day 6	0.0045%	₹4.50
Day 7 onwards	Nil	₹0			

WHY PEOPLE LIKE THEM

- Expense ratio of direct plans is very low, roughly 0.07% to 0.3%
- Some liquid funds offer instant redemption of up to ₹50,000 (or 90% of your holding, whichever is lower) per day
- Normal withdrawals usually reach your bank the next working day

KEEP IN MIND

- Returns are not fixed like an FD; they move with short-term interest rates
- Not guaranteed by any bank or by DICGC insurance
- Gains are taxed at your slab rate (Part 7)

PART 3 · ONE TO TWELVE MONTHS

A little longer, *a little more return*

When you know you won't touch the money for at least a month, you can step one rung up the ladder.

4 The ladder of short-term debt funds

OVERNIGHT	LIQUID	ULTRA SHORT	LOW DURATION	MONEY MARKET
Matures in 1 day	**Up to 91 days**	**Duration 3 to 6 months**	**Duration 6 to 12 months**	**Instruments up to 1 year**

SEBI's mutual fund category definitions. "Duration" here means Macaulay duration of the portfolio, explained in the glossary.

CATEGORY	FITS A HORIZON OF	1Y RETURN RANGE*	3Y RETURN RANGE*	EXPENSE RATIO*
Ultra short duration	1 to 6 months	**6.1 to 6.9%**	**6.4 to 7.5%**	**0.14 to 0.40%**
Money market	3 to 12 months	**6.3 to 6.7%**	**6.8 to 7.5%**	**0.10 to 0.26%**
Low duration	6 to 12 months	**5.7 to 6.2%**	**7.0 to 7.7%**	**0.21 to 0.46%**

**Direct plans, early November 2026, from INDmoney and Sharpely category pages. Ranges cover the funds listed there, not every fund.*

THIS TOOK ME A WHILE TO GET

Money market funds hold instruments like treasury bills and certificates of deposit. Low duration funds can hold corporate bonds too. Same horizon, slightly different risk, so check what is inside.

A SHORTCUT I USE NOW

For money needed in one to two months, I stay with liquid or ultra short funds. Short duration funds hold bonds with a duration of one to three years, so they belong in Part 4, not here, even though the names sound alike.

PART 4 · ONE TO THREE YEARS

Corporate bond funds and *the interest rate catch*

For money you need in one to three years and don't want in the stock market, corporate bond and short duration funds are the usual choices.

5 What they hold

Corporate bond funds must put at least 80% of their money in the highest-rated corporate bonds (AA+ and above). **Short duration funds** keep the portfolio's Macaulay duration between one and three years. Both are far steadier than shares, but they are not risk free.

6 Why one year can look weak

Bond prices move opposite to interest rates. With inflation picking up, RBI raised the repo rate from 5.25% to 5.50% in October 2026. As rates moved up, bond prices dipped, and one-year returns in these categories are only about 3.6% to 5.8%. Over three years they have still done about 6.9% to 7.9% a year. That is the "interest rate catch", and it is why these funds need at least a year or two.

₹1 LAKH FOR 3 YEARS AT	VALUE AT THE END	WHAT IT REPRESENTS
4.5% a year	**₹1,14,117**	A weak stretch for bond funds
7% a year	**₹1,22,504**	Close to the recent 3-year average
9.5% a year	**₹1,31,293**	The optimistic pitch; don't plan on it

Compounded annually, before tax. Rounded to the nearest rupee.

INTEREST RATE RISK

- Rates go up, bond fund NAV dips for a while
- Rates go down, NAV gets a boost
- Longer duration means bigger swings

CREDIT RISK

- A company can delay or miss paying back
- Corporate bond funds limit this by holding mostly AA+ and AAA paper
- Avoid chasing the highest yield in the category

PART 5 · ABOVE THREE YEARS

When equity *starts to make sense*

Shares grow faster than bonds over long periods, but the path is bumpy. Time is what smooths it out.

7 Why three years is the floor, not the target

An equity fund can fall 20%, 30% or more in a bad year and take a while to recover. If you need the money in that window, you are forced to sell at a loss. With three years in hand you have some room; with five or more, the odds of coming out ahead get much better. That is why most planners treat **five years and above** as the comfortable zone for equity.

8 A simple way to think about it

GOAL IS	A SENSIBLE HOME	WHY
Under 1 year away	Liquid, ultra short, money market, low duration	Capital should stay steady
1 to 3 years away	Corporate bond, short duration	Some growth, limited swings
3 to 5 years away	Mostly debt, a small part in equity	Equity needs time to recover from a fall
5+ years away	Equity mutual funds	Long enough to ride out bad years

WHAT FINALLY SETTLED IT FOR ME

As a goal gets closer, I move the money step by step from equity into short-term debt. The goal date sets the plan, not the market's mood that month.

IF YOU HAVE A LUMP SUM FOR EQUITY

Many investors park it in a liquid fund and move it into an equity fund in equal monthly parts through a systematic transfer plan (STP). It spreads your entry over several months instead of betting on one day.

How to pick a debt fund *without guessing*

Within a category the funds look alike. These checks separate a sensible choice from a risky one.

9 Step by step

1. **Write down the date you need the money.** That date decides the category, using the map in Part 1.
2. **Choose the direct plan.** Direct plans skip distributor commission, so the expense ratio is lower and more of the return stays with you.
3. **Compare expense ratios.** In debt funds, returns between funds are close, so a 0.2% cost difference matters a lot.
4. **Look at portfolio quality.** In the monthly factsheet, check that most holdings are AAA, A1+ or government securities. Be wary of a fund in a short-term category with a big chunk of lower-rated paper.
5. **Prefer a reasonably large fund.** A bigger fund (AUM) handles large withdrawals by other investors more smoothly.
6. **Read the exit load in the scheme documents.** Most short-term categories have none, but a few schemes do. The SID or KIM states it clearly.
7. **Complete KYC and invest.** Use the AMC's own website, MF Central, or any SEBI-registered platform. Keep your nominee updated.

> THE ONE THING TO NOTICE
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> In short-term debt funds, the cheapest well-run fund usually beats the one with the flashiest past return. Steadiness is the whole point.

PART 7 · TAX RULES

How the gains *are taxed*

The tax treatment changed in 2023 and 2024. Here is where things stand for 2026-27; Budget 2026 did not change these rates.

10 Debt funds vs equity funds

FUND TYPE	HELD FOR	TAX ON GAINS
Debt funds (liquid, money market, corporate bond, etc.) bought on or after 1 April 2023	Any period	Added to your income and taxed at your slab rate. No indexation, no long-term benefit.
Debt fund units bought before 1 April 2023	More than 24 months	12.5% without indexation (if sold after 23 July 2024)
Equity funds	Up to 12 months	20% short-term capital gains tax
Equity funds	More than 12 months	12.5% on gains above ₹1.25 lakh in a financial year

Rates exclude surcharge and 4% health and education cess.

> WHAT THIS MEANS IN PRACTICE
>
> Debt fund gains are taxed much like FD interest, at your slab rate. The difference is timing: FD interest is taxed every year as it accrues, while a debt fund is taxed only when you redeem. For a short-term park, compare the return after tax, not the headline number.

11 Good habits

1. **Keep your emergency fund separate.** A liquid fund works well for the part you don't need on day one; keep a small amount in the bank for instant needs.
2. **Don't upgrade the horizon to chase return.** Moving one-month money into a corporate bond fund adds risk you don't need.
3. **Track your capital gains statement.** Your AMC or CAS statement shows gains for tax filing each year.

WORDS YOU'LL HEAR

The glossary, *in plain words*

The terms that show up in fund factsheets and app screens, explained simply.

Debt fund

MUTUAL FUND CATEGORY

A fund that lends money to governments, banks and companies and earns interest.

"Kadan kuduthu vatti sambaarikkum fund."

Liquid fund

DEBT FUND, UP TO 91 DAYS

Holds instruments maturing within 91 days. Used to park money briefly.

"Konja naal park panna best."

NAV

NET ASSET VALUE

The price of one unit of a fund, updated every business day.

"Oru unit-oda indraya vilai."

Exit load

REDEMPTION CHARGE

A small fee if you withdraw before a set period. Deducted from what you get back.

"Seekiram edutha chinna penalty."

Expense ratio

ANNUAL FUND COST

Yearly fee the fund charges, shown as a % of your money. Already reflected in the NAV.

"Fund manage panna varusha charge."

Direct plan

NO DISTRIBUTOR COMMISSION

The version of a fund bought without a middleman, so it costs less.

"Commission illa, return konjam adhigam."

Macaulay duration

INTEREST RATE SENSITIVITY

Average time to get back a bond's cash flows. Higher means bigger swings when rates change.

"Duration adhigam na, aattam adhigam."

Repo rate

RBI POLICY RATE

The rate at which RBI lends to banks. It drives short-term interest rates across the economy.

"RBI banks-ku kudukkura vatti."

Credit rating

AAA, AA+, A1+

An agency's grade of how likely a borrower is to repay. AAA is the highest.

"Thirumba kudupaangala nu oru mark."

Money market

UP TO 1 YEAR INSTRUMENTS

Short-term lending such as treasury bills, CDs and commercial paper.

"Oru varushathukkulla mudiyura kadan."

AUM

ASSETS UNDER MANAGEMENT

The total money a fund manages. A rough sign of its size.

"Fund kitta irukkura mottha panam."

STP

SYSTEMATIC TRANSFER PLAN

Moves a fixed amount from one fund to another every month, automatically.

"Maasa maasam oru fund-la irundhu innoru fund-ku."

Slab rate

YOUR INCOME TAX BRACKET

The rate at which your income is taxed. Debt fund gains are added to income.

"Unga salary-ku edha tax-o adhe."

SID / KIM

SCHEME DOCUMENTS

Official documents with a fund's rules, exit load, risk and costs.

"Fund-oda full rulebook."

Riskometer

SEBI RISK LABEL

A six-level label on every fund, from Low to Very High risk.

"Risk evlo nu oru meter."

SOURCES AND DISCLAIMER

How the *numbers* were worked out

Every figure in this guide came from a public source or a simple calculation, listed here.

1. **Fund categories** (liquid up to 91 days, ultra short 3 to 6 months duration, low duration 6 to 12 months, money market up to 1 year, short duration 1 to 3 years, corporate bond at least 80% in AA+ and above): SEBI circular on categorisation and rationalisation of mutual fund schemes, October 2017.
2. **Liquid fund graded exit load** (0.0070% on day 1 down to 0.0045% on day 6, nil from day 7): SEBI circular on risk management framework for liquid and overnight funds, September 2019.
3. **Instant redemption** limit of ₹50,000 or 90% of holding value, whichever is lower, per investor per scheme per day; optional for the fund house: SEBI Master Circular for Mutual Funds, 27 June 2024 (para 14.9).
4. **Return and expense ratio ranges**: INDmoney category pages (liquid, ultra short, money market, low duration, short duration; category averages as of 6 to 7 November 2026) and Sharpely category pages (corporate bond, ultra short, short term), direct plans.
5. **Repo rate** raised from 5.25% to 5.50%: RBI Monetary Policy Committee decision, 7 October 2026.
6. **Savings account rate** of 2.5% to 3%: published 2026 rates at SBI, HDFC Bank, ICICI Bank and Axis Bank for balances under ₹50 lakh. Your bank's rate may differ.
7. **Tax rules**: Finance Act 2023 (debt fund gains at slab rate for units bought on or after 1 April 2023) and Finance (No. 2) Act 2024 (12.5% LTCG, 20% equity STCG, ₹1.25 lakh equity exemption, effective 23 July 2024). These rates continue for tax year 2026-27; Budget 2026 left them unchanged.
8. **Worked examples** were computed in code: 30-day savings interest as ₹1,00,000 × rate × 30 / 365; liquid fund as ₹1,00,000 × ((1 + 6.3%)^(30/365) − 1); 3-year values as ₹1,00,000 × (1 + rate)³. All before tax, rounded to the nearest rupee.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific fund, AMC or platform. I am not a SEBI-registered investment adviser. Mutual fund investments are subject to market risks; read all scheme-related documents carefully. Return figures are past category data and examples, they are not guaranteed and can change. Tax rules can change too. Speak to a SEBI-registered adviser or a tax professional before acting.

Where is your short-term money parked right now? *Tell me* on Instagram.

Free to share. Made by Abinash at **@buildwithabinash**. Send this to a friend whose bonus is sitting idle in a savings account.